

# 5

## Accounting for Merchandising Operations

### Learning Objectives

1

Describe merchandising operations and inventory systems.

2

Record purchases under a perpetual inventory system.

3

Record sales under a perpetual inventory system.

4

Apply the steps in the accounting cycle to a merchandising company.

5

Compare a multiple-step with a single-step income statement.

# Describe merchandising operations and inventory systems.

## Merchandising Companies

Buy and Sell Goods



WAL★MART

amazon.com®

Retailer



Wholesaler



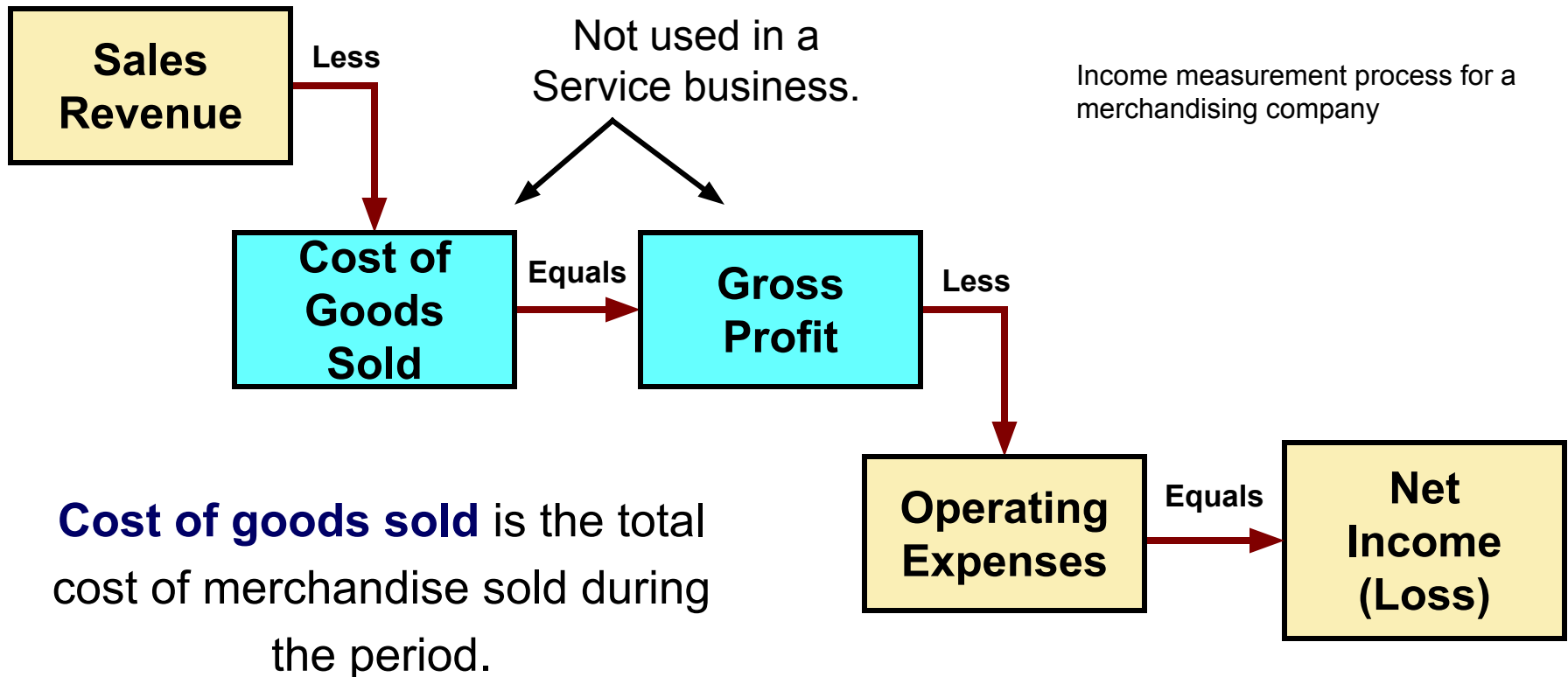
Consumer

The primary source of revenues is referred to as **sales revenue** or **sales**.

# Merchandising Operations

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## Income Measurement



# Operating Cycles

The operating cycle of a **merchandising company** ordinarily is longer than that of a **service company**.

Illustration 5-2

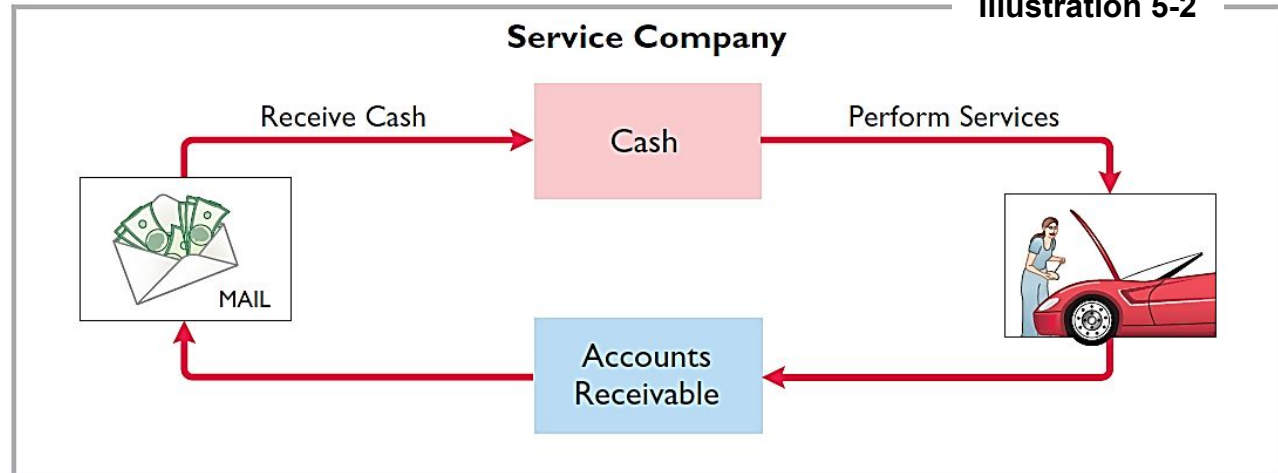
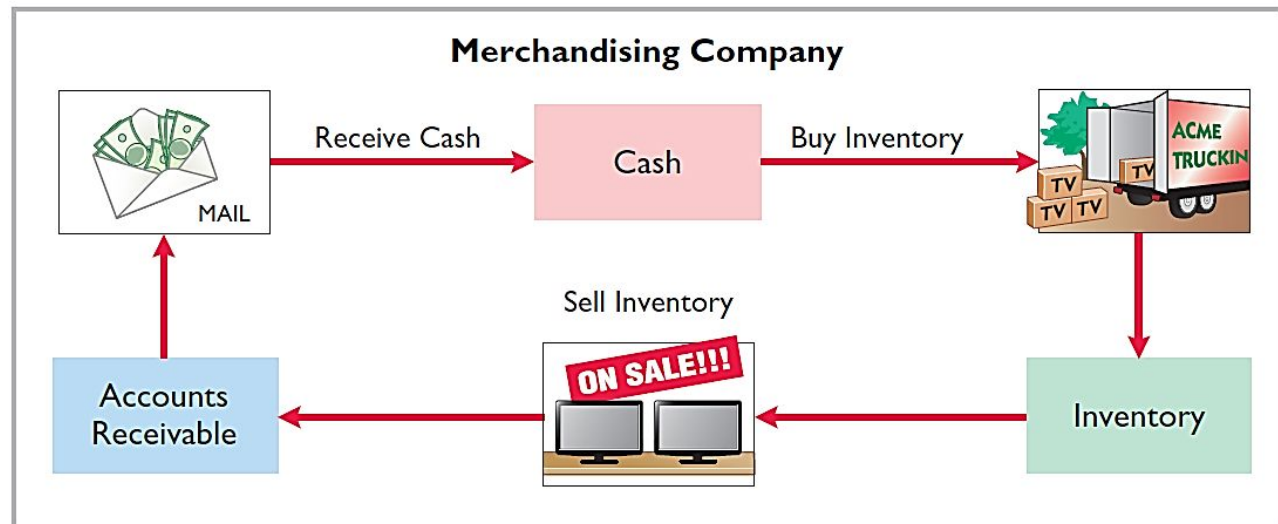


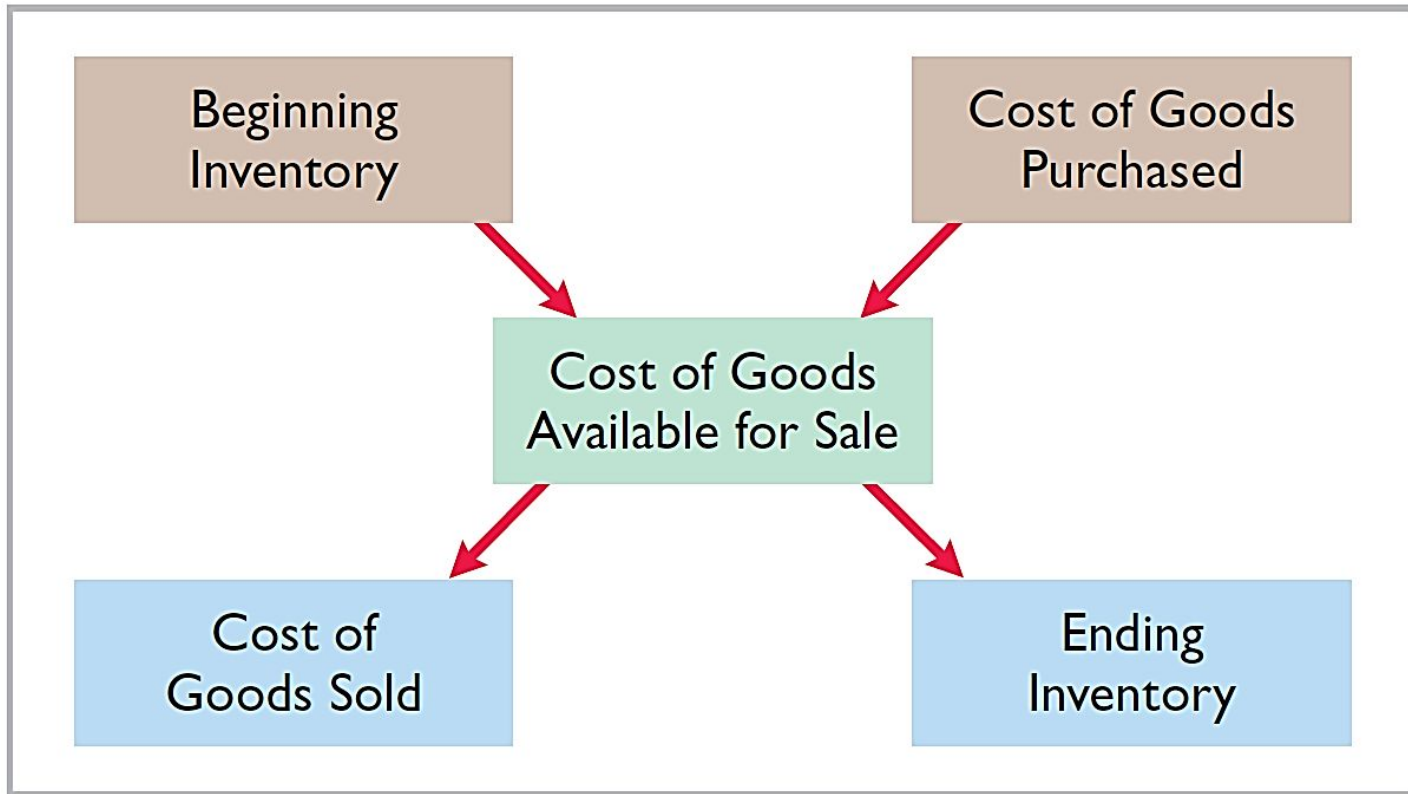
Illustration 5-3



# Flow of Costs

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Illustration 5-4



Companies use either a **perpetual inventory system** or a **periodic inventory system** to account for inventory.

# Flow of Costs

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## PERPETUAL SYSTEM

- ◆ Maintain detailed records of the cost of each inventory purchase and sale.
- ◆ Records continuously show inventory that should be on hand for every item.
- ◆ Company determines cost of goods sold each time a sale occurs.

# Flow of Costs

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## PERIODIC SYSTEM

- ◆ Do not keep detailed records of the goods on hand.
- ◆ Cost of goods sold determined by count at the end of the accounting period.
- ◆ Calculation of Cost of Goods Sold:

Beginning inventory   \$ 100,000

Add: Purchases, net   800,000

Goods available for sale   900,000

Less: Ending inventory   125,000

Cost of goods sold   \$ 775,000

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# Flow of Costs

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## ADVANTAGES OF THE PERPETUAL SYSTEM

- ◆ Traditionally used for merchandise with high unit values.
- ◆ Shows the quantity and cost of the inventory that should be on hand at any time.
- ◆ Provides better control over inventories than a periodic system.



Indicate whether the following statements are **true** or **false**.

1. The primary source of revenue for a merchandising company results from performing services for customers.
2. The operating cycle of a service company is usually shorter than that of a merchandising company.
3. Sales revenue less cost of goods sold equals gross profit.
4. Ending inventory plus the cost of goods purchased equals cost of goods available for sale.

**False**

**True**

**True**

**False**

## Record purchases under a perpetual inventory system.

- ◆ Made using **cash or credit** (on account).
- ◆ Normally **record when** goods are received from the seller.
- ◆ **Purchase invoice** should support each credit purchase.

# Recording Purchases of Merchandise

**Illustration:** Sauk Stereo (the buyer) uses as a purchase invoice the sales invoice prepared by PW Audio Supply, Inc. (the seller). **Prepare the journal entry** for Sauk Stereo for the invoice from PW Audio Supply.

Illustration 5-6

| PW AUDIO SUPPLY, INC.<br>27 CIRCLE DRIVE<br>HARDING, MICHIGAN 48281 |                                                    |                 |              |          |            |                    |
|---------------------------------------------------------------------|----------------------------------------------------|-----------------|--------------|----------|------------|--------------------|
| INVOICE NO. 731                                                     |                                                    |                 |              |          |            |                    |
| S<br>O<br>L<br>D<br>T<br>O                                          | Firm Name <u>Sauk Stereo</u>                       |                 |              |          |            |                    |
|                                                                     | Attention of <u>James Hoover, Purchasing Agent</u> |                 |              |          |            |                    |
|                                                                     | Address <u>125 Main Street</u>                     |                 |              |          |            |                    |
|                                                                     | <u>Chelsea</u>                                     | <u>Illinois</u> | <u>60915</u> |          |            |                    |
|                                                                     | City                                               | State           | Zip          |          |            |                    |
| Date                                                                | 5/4/17                                             | Salesperson     | Malone       | Terms    | 2/10, n/30 | FOB Shipping Point |
| Catalog No.                                                         | Description                                        |                 |              | Quantity | Price      | Amount             |
| X572Y9820                                                           | Printed Circuit Board-prototype                    |                 |              | 1        | 2,300      | \$2,300            |
| A2547Z45                                                            | Production Model Circuits                          |                 |              | 5        | 300        | 1,500              |
| IMPORTANT: ALL RETURNS MUST BE MADE WITHIN 10 DAYS                  |                                                    |                 |              |          |            | TOTAL \$3,800      |

|       |                  |       |       |
|-------|------------------|-------|-------|
| May 4 | Inventory        | 3,800 |       |
|       | Accounts Payable |       | 3,800 |

# Freight Costs



Ownership of the goods passes to the buyer when the public carrier accepts the goods from the seller.



Ownership of the goods remains with the seller until the goods reach the buyer.

**Illustration 5-7**  
Shipping terms

Freight costs incurred by the seller are an **operating expense**.

# Freight Costs

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**Illustration:** Assume upon delivery of the goods on May 6, **Sauk Stereo pays** Public Freight Company \$150 for **freight charges**, the entry on Sauk Stereo's books is:

|       |           |     |
|-------|-----------|-----|
| May 6 | Inventory | 150 |
|       | Cash      | 150 |

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Assume the freight terms on the invoice in Illustration 5-6 had required **PW Audio Supply to pay the freight charges**, the entry by PW Audio Supply would have been:

|       |             |     |
|-------|-------------|-----|
| May 4 | Freight-Out | 150 |
|       | Cash        | 150 |

# Purchase Returns and Allowances

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**Purchaser may be dissatisfied** because goods are damaged or defective, of inferior quality, or do not meet specifications.

## **Purchase Return**

Return goods for credit if the sale was made on credit, or for a cash refund if the purchase was for cash.

## **Purchase Allowance**

May choose to keep the merchandise if the seller will grant a reduction of the purchase price.

# Purchase Returns and Allowances

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**Illustration:** Assume Sauk Stereo returned goods costing \$300 to PW Audio Supply on May 8.

|       |                  |     |
|-------|------------------|-----|
| May 8 | Accounts Payable | 300 |
|       | Inventory        | 300 |

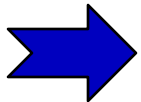
# Purchase Returns and Allowances

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## Question

In a perpetual inventory system, a return of defective merchandise by a purchaser is recorded by crediting:

- a. Purchases
- b. Purchase Returns
- c. Purchase Allowance
- d. Inventory





# Purchase Discounts

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**Credit terms** may permit buyer to claim a cash discount for prompt payment.

## Advantages:

- ◆ Purchaser saves money.
- ◆ Seller shortens the operating cycle by converting the accounts receivable into cash earlier.

**Example:** Credit terms may read **2/10, n/30**.

# Purchase Discounts

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**2/10, n/30**

2% discount if paid within 10 days, otherwise net amount due within 30 days.

**1/10 EOM**

1% discount if paid within first 10 days of next month.

**n/10 EOM**

Net amount due within the first 10 days of the next month.

# Purchase Discounts

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**Illustration:** Assume Sauk Stereo pays the balance due of \$3,500 (gross invoice price of \$3,800 less purchase returns and allowances of \$300) on May 14, the last day of the discount period. Prepare the journal entry Sauk Stereo makes on May 14 to record the payment considering 2% discount.

|        |                  |       |
|--------|------------------|-------|
| May 14 | Accounts Payable | 3,500 |
|        | Inventory        | 70    |
|        | Cash             | 3,430 |

(Discount =  $\$3,500 \times 2\% = \$70$ )

# Purchase Discounts

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**Illustration:** If Sauk Stereo failed to take the discount, and instead made full payment of \$3,500 on June 3, the journal entry would be:

|        |                  |       |
|--------|------------------|-------|
| June 3 | Accounts Payable | 3,500 |
|        | Cash             | 3,500 |

# Summary of Purchasing Transactions

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| Inventory                    |       |        |                             |
|------------------------------|-------|--------|-----------------------------|
|                              | Debit | Credit |                             |
| 4 <sup>th</sup> - Purchase   | 3,800 | 300    | 8 <sup>th</sup> - Return    |
| 6 <sup>th</sup> - Freight-in | 150   | 70     | 14 <sup>th</sup> - Discount |
| Balance                      | 3,580 |        |                             |

**DO IT!**

**2**

## **Purchase Transactions**

On September 5, De La Hoya Company buys merchandise on account from Junot Diaz Company. The selling price of the goods is \$1,500, and the cost to Diaz Company was \$800. On September 8, De La Hoya returns defective goods with a selling price of \$200. Record the transactions on the books of De La Hoya Company.

## *Continue*

Sept. 5      Inventory      1,500  
                 Accounts Payable              1,500

Sept. 8      Accounts Payable      200  
                 Inventory              **200**

## Record sales under a perpetual inventory system.

- ◆ Made using **cash or credit** (on account).
- ◆ Sales revenue, like service revenue, is recorded when the performance obligation is satisfied.
- ◆ Performance obligation is satisfied when the goods are transferred from the seller to the buyer.
- ◆ Sales invoice should support each credit sale.



# Recording Sales of Merchandise

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## Journal Entries to Record a Sale

**#1**      Cash **or** Accounts receivable      XXX  
                 Sales revenue                      XXX

} **Selling  
Price**

**#2**      Cost of goods sold      XXX  
                 Inventory              XXX

} **Cost**

# Recording Sales of Merchandise

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**Illustration:** PW Audio Supply records the sale of \$3,800 on May 4 to Sauk Stereo on account (Illustration 5-6) as follows (assume the merchandise cost PW Audio Supply \$2,400).

|       |                     |       |       |
|-------|---------------------|-------|-------|
| May 4 | Accounts Receivable | 3,800 |       |
|       | Sales Revenue       |       | 3,800 |
|       |                     |       |       |
| 4     | Cost of Goods Sold  | 2,400 |       |
|       | Inventory           |       | 2,400 |

# Sales Returns and Allowances

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- ◆ **“Flip side”** of purchase returns and allowances.
- ◆ **Contra-revenue account** to Sales Revenue (debit).
- ◆ **Sales not reduced** (debited) because:
  - ▶ Would obscure importance of sales returns and allowances as a percentage of sales.
  - ▶ Could distort comparisons.

# Sales Returns and Allowances

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**Illustration:** Prepare the entry PW Audio Supply would make to record the credit for returned goods that had a \$300 selling price (assume a \$140 cost). Assume the **goods were not defective**.

|       |                              |     |
|-------|------------------------------|-----|
| May 8 | Sales Returns and Allowances | 300 |
|       | Accounts Receivable          | 300 |
| 8     | Inventory                    | 140 |
|       | Cost of Goods Sold           | 140 |

# Sales Returns and Allowances

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**Illustration:** Assume the **returned goods were defective** and had a scrap value of \$50, PW Audio would make the following entries:

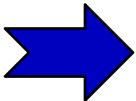
|       |                              |     |
|-------|------------------------------|-----|
| May 8 | Sales Returns and Allowances | 300 |
|       | Accounts Receivable          | 300 |
| 8     | Inventory                    | 50  |
|       | Cost of Goods Sold           | 50  |

# Sales Returns and Allowances

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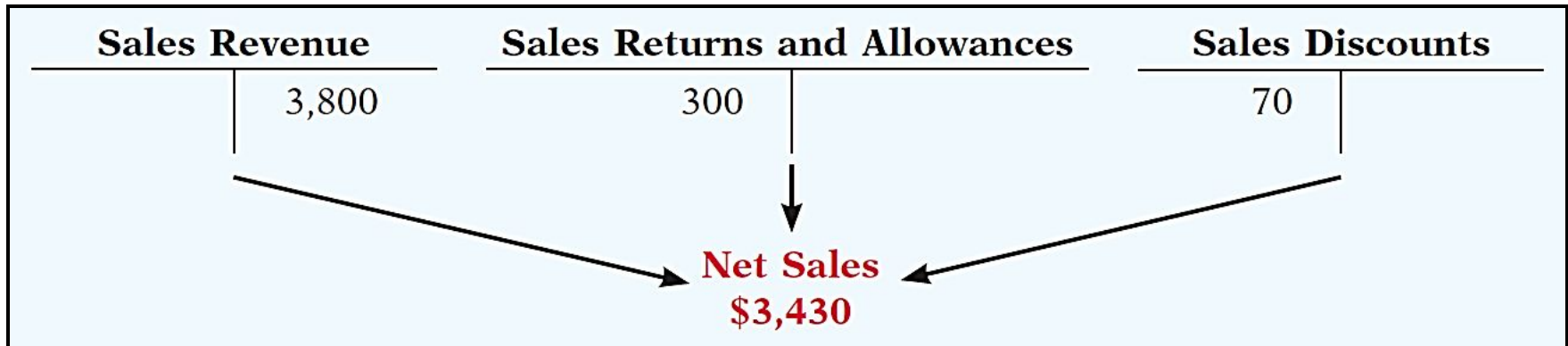
## Question

The cost of goods sold is determined and recorded each time a sale occurs in:

- a. periodic inventory system only.
-  b. a perpetual inventory system only.
- c. both a periodic and perpetual inventory system.
- d. neither a periodic nor perpetual inventory system.

# Sales Discount

- ◆ Offered to customers to **promote prompt payment** of the balance due.
- ◆ **Contra-revenue account** (debit) to Sales Revenue.



# Sales Discount

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**Illustration:** Assume Sauk Stereo pays the balance due of \$3,500 (gross invoice price of \$3,800 less purchase returns and allowances of \$300) on May 14, the last day of the discount period. Prepare the journal entry PW Audio Supply makes to record the receipt on May 14.

|        |                     |       |   |
|--------|---------------------|-------|---|
| May 14 | Cash                | 3,430 |   |
|        | Sales Discounts     | 70    | * |
|        | Accounts Receivable | 3,500 |   |

\*  $[(\$3,800 - \$300) \times 2\%]$



**DO IT!**

**3**

## **Sales Transactions**

On September 5, De La Hoya Company buys merchandise on account from Junot Diaz Company. The selling price of the goods is \$1,500, and the cost to Diaz Company was \$800. On September 8, De La Hoya returns defective goods with a selling price of \$200 and a fair value of \$30. Record the transactions on the books of Junot Diaz Company.

**DO IT!**

**3**

## **Sales Transactions**

Sept. 5    Accounts Receivable    1,500  
                    Sales Revenue            1,500

Sept. 5    Cost of Goods Sold    800  
                    Inventory            800

Sept. 8    Sales Returns and Allowances    200  
                    Accounts Receivable            200

Sept. 8    Inventory    30  
                    Cost of Goods Sold            30

## Adjusting Entries

- ◆ Generally the same as a service company.
- ◆ One additional adjustment to make the records agree with the actual inventory on hand.
- ◆ Involves adjusting Inventory and Cost of Goods Sold.

# Adjusting Entries

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**Illustration:** Suppose that PW Audio Supply has an unadjusted balance of \$40,500 in Merchandise Inventory. Through a physical count, PW Audio determines that its actual merchandise inventory at year-end is \$40,000. The company would make an adjusting entry as follows.

|                    |     |
|--------------------|-----|
| Cost of Goods Sold | 500 |
| Inventory          | 500 |

# Closing Entries

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|         |                                                              |         |         |
|---------|--------------------------------------------------------------|---------|---------|
| Dec. 31 | Sales Revenue                                                | 480,000 |         |
|         | Income Summary                                               |         | 480,000 |
|         | (To close income statement accounts<br>with credit balances) |         |         |
| 31      | Income Summary                                               | 450,000 |         |
|         | Sales Returns and Allowances                                 |         | 12,000  |
|         | Sales Discounts                                              |         | 8,000   |
|         | Cost of Goods Sold                                           |         | 316,000 |
|         | Salaries and Wages Expense                                   |         | 64,000  |
|         | Freight-Out                                                  |         | 7,000   |
|         | Advertising Expense                                          |         | 16,000  |
|         | Utilities Expense                                            |         | 17,000  |
|         | Depreciation Expense                                         |         | 8,000   |
|         | Insurance Expense                                            |         | 2,000   |
|         | (To close income statement accounts<br>with debit balances)  |         |         |

# Closing Entries

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|    |                                                                          |        |        |
|----|--------------------------------------------------------------------------|--------|--------|
| 31 | Income Summary<br>Owner's Capital<br>(To transfer net income to capital) | 30,000 | 30,000 |
| 31 | Owner's Capital<br>Owner's Drawings<br>(To close drawings to capital)    | 15,000 | 15,000 |

**DO IT!**

**4**

## **Closing Entries**

The trial balance of Celine's Sports Wear Shop at December 31 shows Inventory \$25,000, Sales Revenue \$162,400, Sales Returns and Allowances \$4,800, Sales Discounts \$3,600, Cost of Goods Sold \$110,000, Rent Revenue \$6,000, Freight-Out \$1,800, Rent Expense \$8,800, and Salaries and Wages Expense \$22,000. Prepare the closing entries for the above accounts.

## Solution

|         |                              |         |        |
|---------|------------------------------|---------|--------|
| Dec. 31 | Sales Revenue                | 162,400 |        |
|         | Rent Revenue                 | 6,000   |        |
|         | Income Summary               | 168,400 |        |
|         |                              |         |        |
| Dec. 31 | Income Summary               | 151,000 |        |
|         | Cost of Goods Sold           | 110,000 |        |
|         | Sales Returns and Allowances |         | 4,800  |
|         | Sales Discounts              | 3,600   |        |
|         | Freight-Out                  | 1,800   |        |
|         | Rent Expense                 | 8,800   |        |
|         | Salaries and Wages Expense   |         | 22,000 |



### Sales Transactions

| Transactions                                             | Daily Recurring Entries      | Dr. | Cr. |
|----------------------------------------------------------|------------------------------|-----|-----|
| Selling merchandise to customers.                        | Cash or Accounts Receivable  | XX  |     |
|                                                          | Sales Revenue                |     | XX  |
|                                                          | Cost of Goods Sold           | XX  |     |
|                                                          | Inventory                    |     | XX  |
| Granting sales returns or allowances to customers.       | Sales Returns and Allowances | XX  |     |
|                                                          | Cash or Accounts Receivable  |     | XX  |
|                                                          | Inventory                    | XX  |     |
|                                                          | Cost of Goods Sold           |     | XX  |
| Paying freight costs on sales; FOB destination.          | Freight-Out                  | XX  |     |
|                                                          | Cash                         |     | XX  |
| Receiving payment from customers within discount period. | Cash                         | XX  |     |
|                                                          | Sales Discounts              | XX  |     |
|                                                          | Accounts Receivable          |     | XX  |

### Purchase Transactions

|                                                                    |                          |    |    |
|--------------------------------------------------------------------|--------------------------|----|----|
| Purchasing merchandise for resale.                                 | Inventory                | XX |    |
|                                                                    | Cash or Accounts Payable |    | XX |
| Paying freight costs on merchandise purchased; FOB shipping point. | Inventory                | XX |    |
|                                                                    | Cash                     |    | XX |
| Receiving purchase returns or allowances from suppliers.           | Cash or Accounts Payable | XX |    |
|                                                                    | Inventory                |    | XX |
| Paying suppliers within discount period.                           | Accounts Payable         | XX |    |
|                                                                    | Inventory                |    | XX |
|                                                                    | Cash                     |    | XX |

## Multiple-Step Income Statement

- ◆ Shows several steps in determining net income.
- ◆ Two steps relate to principal operating activities.
- ◆ Distinguishes between operating and non-operating activities.

# Multiple-Step

## Key Items:

- ◆ Net sales
- ◆ Gross profit
- ◆ Operating expenses
- ◆ Nonoperating activities
- ◆ **Net income**

Illustration 5-14

| PW AUDIO SUPPLY                      |              |  |                         |
|--------------------------------------|--------------|--|-------------------------|
| Income Statement                     |              |  |                         |
| For the Year Ended December 31, 2017 |              |  |                         |
| <b>Sales</b>                         |              |  |                         |
| Sales revenue                        |              |  | \$480,000               |
| Less: Sales returns and allowances   | \$12,000     |  |                         |
| Sales discounts                      | <u>8,000</u> |  | <u>20,000</u>           |
| Net sales                            |              |  | 460,000                 |
| <b>Cost of goods sold</b>            |              |  | <u>316,000</u>          |
| <b>Gross profit</b>                  |              |  | 144,000                 |
| <b>Operating expenses</b>            |              |  |                         |
| Salaries and wages expense           | 64,000       |  |                         |
| Utilities expense                    | 17,000       |  |                         |
| Advertising expense                  | 16,000       |  |                         |
| Depreciation expense                 | 8,000        |  |                         |
| Freight-out                          | 7,000        |  |                         |
| Insurance expense                    | <u>2,000</u> |  |                         |
| Total operating expenses             |              |  | <u>114,000</u>          |
| <b>Income from operations</b>        |              |  | 30,000                  |
| <b>Other revenues and gains</b>      |              |  |                         |
| Interest revenue                     | 3,000        |  |                         |
| Gain on disposal of plant assets     | <u>600</u>   |  | <u>3,600</u>            |
| <b>Other expenses and losses</b>     |              |  |                         |
| Interest expense                     | 1,800        |  |                         |
| Casualty loss from vandalism         | <u>200</u>   |  | <u>2,000</u>            |
| <b>Net income</b>                    |              |  | <u><u>\$ 31,600</u></u> |

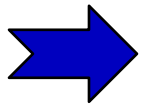
# Multiple-Step Income Statement

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## Question

The multiple-step income statement for a merchandiser shows each of the following features except:

- a. gross profit.
- b. cost of goods sold.
- c. a sales revenue section.
- d. investing activities section.



# Single-Step Income Statement

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- ◆ Subtract total expenses from total revenues
- ◆ Two reasons for using the single-step format:
  1. Company does not realize any profit until total revenues exceed total expenses.
  2. Format is simpler and easier to read.

# Single-Step Income Statement

## PW AUDIO SUPPLY Income Statement For the Year Ended December 31, 2017

Illustration 5-15

### Revenues

|                                  |  |            |
|----------------------------------|--|------------|
| Net sales                        |  | \$460,000  |
| Interest revenue                 |  | 3,000      |
| Gain on disposal of plant assets |  | <u>600</u> |
| Total revenues                   |  | 463,600    |

### Expenses

|                              |            |                |
|------------------------------|------------|----------------|
| Cost of goods sold           | \$316,000  |                |
| Operating expenses           | 114,000    |                |
| Interest expense             | 1,800      |                |
| Casualty loss from vandalism | <u>200</u> |                |
| Total expenses               |            | <u>432,000</u> |

### Net income

\$ 31,600

## Using a Worksheet

As indicated in Chapter 4, a worksheet enables companies to prepare financial statements before they journalize and post adjusting entries. The steps in preparing a worksheet for a merchandising company are the same as for a service company. Illustration 5A-1 shows the worksheet for PW Audio Supply, Inc. (excluding nonoperating items). The unique accounts for a merchandiser using a **perpetual inventory system** are in **red**.



Illustration 5A-1

|    | A                                  | B                                                                                         | C       | D           | E         | F                      | G       | H                | I       | J             | K       |
|----|------------------------------------|-------------------------------------------------------------------------------------------|---------|-------------|-----------|------------------------|---------|------------------|---------|---------------|---------|
| 1  |                                    | <b>PW AUDIO SUPPLY</b><br><b>Worksheet</b><br><b>For the Year Ended December 31, 2017</b> |         |             |           |                        |         |                  |         |               |         |
| 2  |                                    |                                                                                           |         |             |           |                        |         |                  |         |               |         |
| 3  |                                    |                                                                                           |         |             |           |                        |         |                  |         |               |         |
| 4  |                                    |                                                                                           |         |             |           |                        |         |                  |         |               |         |
| 5  |                                    | Trial Balance                                                                             |         | Adjustments |           | Adjusted Trial Balance |         | Income Statement |         | Balance Sheet |         |
| 6  |                                    |                                                                                           |         |             |           |                        |         |                  |         |               |         |
| 7  | Accounts                           | Dr.                                                                                       | Cr.     | Dr.         | Cr.       | Dr.                    | Cr.     | Dr.              | Cr.     | Dr.           | Cr.     |
| 8  | Cash                               | 9,500                                                                                     |         |             |           | 9,500                  |         |                  |         | 9,500         |         |
| 9  | Accounts Receivable                | 16,100                                                                                    |         |             |           | 16,100                 |         |                  |         | 16,100        |         |
| 10 | Inventory                          | 40,500                                                                                    |         |             | (a) 500   | 40,000                 |         |                  |         | 40,000        |         |
| 11 | Prepaid Insurance                  | 3,800                                                                                     |         |             | (b) 2,000 | 1,800                  |         |                  |         | 1,800         |         |
| 12 | Equipment                          | 80,000                                                                                    |         |             |           | 80,000                 |         |                  |         | 80,000        |         |
| 13 | Accumulated Depreciation—Equipment |                                                                                           | 16,000  |             | (c) 8,000 |                        | 24,000  |                  |         |               | 24,000  |
| 14 | Accounts Payable                   |                                                                                           | 20,400  |             |           |                        | 20,400  |                  |         |               | 20,400  |
| 15 | Owner's Capital                    |                                                                                           | 83,000  |             |           |                        | 83,000  |                  |         |               | 83,000  |
| 16 | Owner's Drawings                   | 15,000                                                                                    |         |             |           | 15,000                 |         |                  |         | 15,000        |         |
| 17 | Sales Revenue                      |                                                                                           | 480,000 |             |           |                        | 480,000 |                  | 480,000 |               |         |
| 18 | Sales Returns and Allowances       | 12,000                                                                                    |         |             |           | 12,000                 |         | 12,000           |         |               |         |
| 19 | Sales Discounts                    | 8,000                                                                                     |         |             |           | 8,000                  |         | 8,000            |         |               |         |
| 20 | Cost of Goods Sold                 | 315,500                                                                                   |         | (a) 500     |           | 316,000                |         | 316,000          |         |               |         |
| 21 | Freight-Out                        | 7,000                                                                                     |         |             |           | 7,000                  |         | 7,000            |         |               |         |
| 22 | Advertising Expense                | 16,000                                                                                    |         |             |           | 16,000                 |         | 16,000           |         |               |         |
| 23 | Salaries and Wages Expense         | 59,000                                                                                    |         | (d) 5,000   |           | 64,000                 |         | 64,000           |         |               |         |
| 24 | Utilities Expense                  | 17,000                                                                                    |         |             |           | 17,000                 |         | 17,000           |         |               |         |
| 25 | Totals                             | 599,400                                                                                   | 599,400 |             |           |                        |         |                  |         |               |         |
| 26 | Insurance Expense                  |                                                                                           |         | (b) 2,000   |           | 2,000                  |         | 2,000            |         |               |         |
| 27 | Depreciation Expense               |                                                                                           |         | (c) 8,000   |           | 8,000                  |         | 8,000            |         |               |         |
| 28 | Salaries and Wages Payable         |                                                                                           |         |             | (d) 5,000 |                        | 5,000   |                  |         |               | 5,000   |
| 29 | Totals                             |                                                                                           |         | 15,500      | 15,500    | 612,400                | 612,400 | 450,000          | 480,000 | 162,400       | 132,400 |
| 30 | Net Income                         |                                                                                           |         |             |           |                        |         | 30,000           |         |               | 30,000  |
| 31 | Totals                             |                                                                                           |         |             |           |                        |         | 480,000          | 480,000 | 162,400       | 162,400 |



## Determining Cost of Goods Sold Under a Periodic System

- ◆ No running account of changes in inventory.
- ◆ Ending inventory determined by physical count.
- ◆ Cost of goods sold not determined until the end of the period.

# Determining Cost of Goods Sold Under a Periodic System

| PW AUDIO SUPPLY                       |              |               |                                |
|---------------------------------------|--------------|---------------|--------------------------------|
| Cost of Goods Sold                    |              |               |                                |
| For the Year Ended December 31, 2017  |              |               |                                |
| Cost of goods sold                    |              |               |                                |
| <b>Inventory, January 1</b>           |              |               | <b>\$ 36,000</b>               |
| Purchases                             |              | \$325,000     |                                |
| Less: Purchase returns and allowances | \$10,400     |               |                                |
| Purchase discounts                    | <u>6,800</u> | <u>17,200</u> |                                |
| Net purchases                         |              | 307,800       |                                |
| Add: Freight-in                       |              | <u>12,200</u> |                                |
| <b>Cost of goods purchased</b>        |              |               | <b><u>320,000</u></b>          |
| Cost of goods available for sale      |              |               | <u>356,000</u>                 |
| <b>Less: Inventory, December 31</b>   |              |               | <b><u>40,000</u></b>           |
| <b>Cost of goods sold</b>             |              |               | <b><u><u>\$316,000</u></u></b> |

# Recording Sales of Merchandise

## COMPARISON OF ENTRIES

| ENTRIES ON SAUK STEREO'S BOOKS |                                     |                            |              |                                        |              |
|--------------------------------|-------------------------------------|----------------------------|--------------|----------------------------------------|--------------|
| Transaction                    |                                     | Perpetual Inventory System |              | Periodic Inventory System              |              |
| May 4                          | Purchase of merchandise on credit.  | <b>Inventory</b>           | <b>3,800</b> | <b>Purchases</b>                       | <b>3,800</b> |
|                                |                                     | Accounts Payable           | 3,800        | Accounts Payable                       | 3,800        |
| 6                              | Freight costs on purchases.         | <b>Inventory</b>           | <b>150</b>   | <b>Freight-In</b>                      | <b>150</b>   |
|                                |                                     | Cash                       | 150          | Cash                                   | 150          |
| 8                              | Purchase returns and allowances.    | Accounts Payable           | 300          | Accounts Payable                       | 300          |
|                                |                                     | <b>Inventory</b>           | <b>300</b>   | <b>Purchase Returns and Allowances</b> | <b>300</b>   |
| 14                             | Payment on account with a discount. | Accounts Payable           | 3,500        | Accounts Payable                       | 3,500        |
|                                |                                     | Cash                       | 3,430        | Cash                                   | 3,430        |
|                                |                                     | <b>Inventory</b>           | <b>70</b>    | <b>Purchase Discounts</b>              | <b>70</b>    |

# Recording Sales of Merchandise

## COMPARISON OF ENTRIES

Illustration 5B-3

| ENTRIES ON PW AUDIO SUPPLY'S BOOKS |                                           |                              |              |                                        |       |
|------------------------------------|-------------------------------------------|------------------------------|--------------|----------------------------------------|-------|
| Transaction                        |                                           | Perpetual Inventory System   |              | Periodic Inventory System              |       |
| May 4                              | Sale of merchandise on credit.            | Accounts Receivable          | 3,800        | Accounts Receivable                    | 3,800 |
|                                    |                                           | Sales Revenue                | 3,800        | Sales Revenue                          | 3,800 |
|                                    |                                           | <b>Cost of Goods Sold</b>    | <b>2,400</b> | <b>No entry for cost of goods sold</b> |       |
| May 8                              | Return of merchandise sold.               | <b>Inventory</b>             | <b>2,400</b> |                                        |       |
|                                    |                                           | Sales Returns and Allowances | 300          | Sales Returns and Allowances           | 300   |
|                                    |                                           | Accounts Receivable          | 300          | Accounts Receivable                    | 300   |
| May 14                             | Cash received on account with a discount. | <b>Inventory</b>             | <b>140</b>   | <b>No entry</b>                        |       |
|                                    |                                           | <b>Cost of Goods Sold</b>    | <b>140</b>   |                                        |       |
|                                    |                                           | Cash                         | 3,430        | Cash                                   | 3,430 |
|                                    |                                           | Sales Discounts              | 70           | Sales Discounts                        | 70    |
|                                    |                                           | Accounts Receivable          | 3,500        | Accounts Receivable                    | 3,500 |